Economics

March 13, 2026

Signs of Caution in January Consumer Spending Even Ahead of Iran Conflict

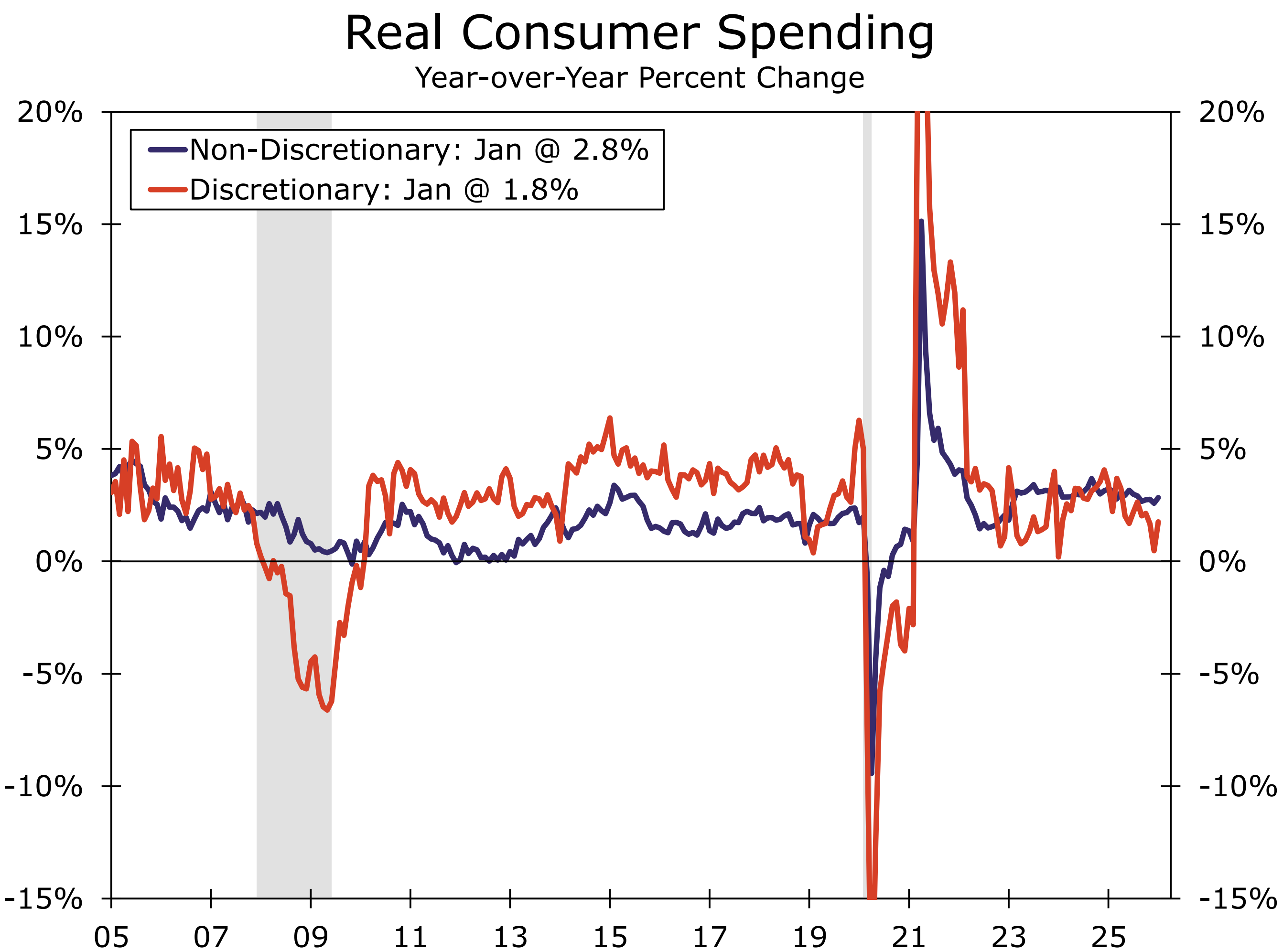
Economic Indicator

Economist(s)

Tim Quinlan

Shannon Grein

- The January personal income and spending data feel even more dated in the wake of the ongoing conflict in Iran. Consumer spending momentum continued at the start of the year, but a modest pullback in discretionary services categories of spending signals some signs of caution among consumers, even ahead of the recent oil-price shock.
- Strong growth in wages & salaries in January was an encouraging sign, and together with the annual social security cost-of-living adjustment, helped propel real disposable income growth, or purchasing power of households, to grow at the fastest monthly pace in about three years.
- The modest 0.1% gain in real spending combined with some modest downward revisions to Q4 real personal consumption expenditures growth suggests real spending is tracking at a slower annualized clip (~1.5%) than we currently have forecast (1.9%) in Q1.
- Consumer inflation remained contained at the start of the year. But the ongoing conflict in Iran is likely to dent households' purchasing power in coming months amid higher gasoline prices, and we've marked down our consumer spending forecast in our recent update as a result.



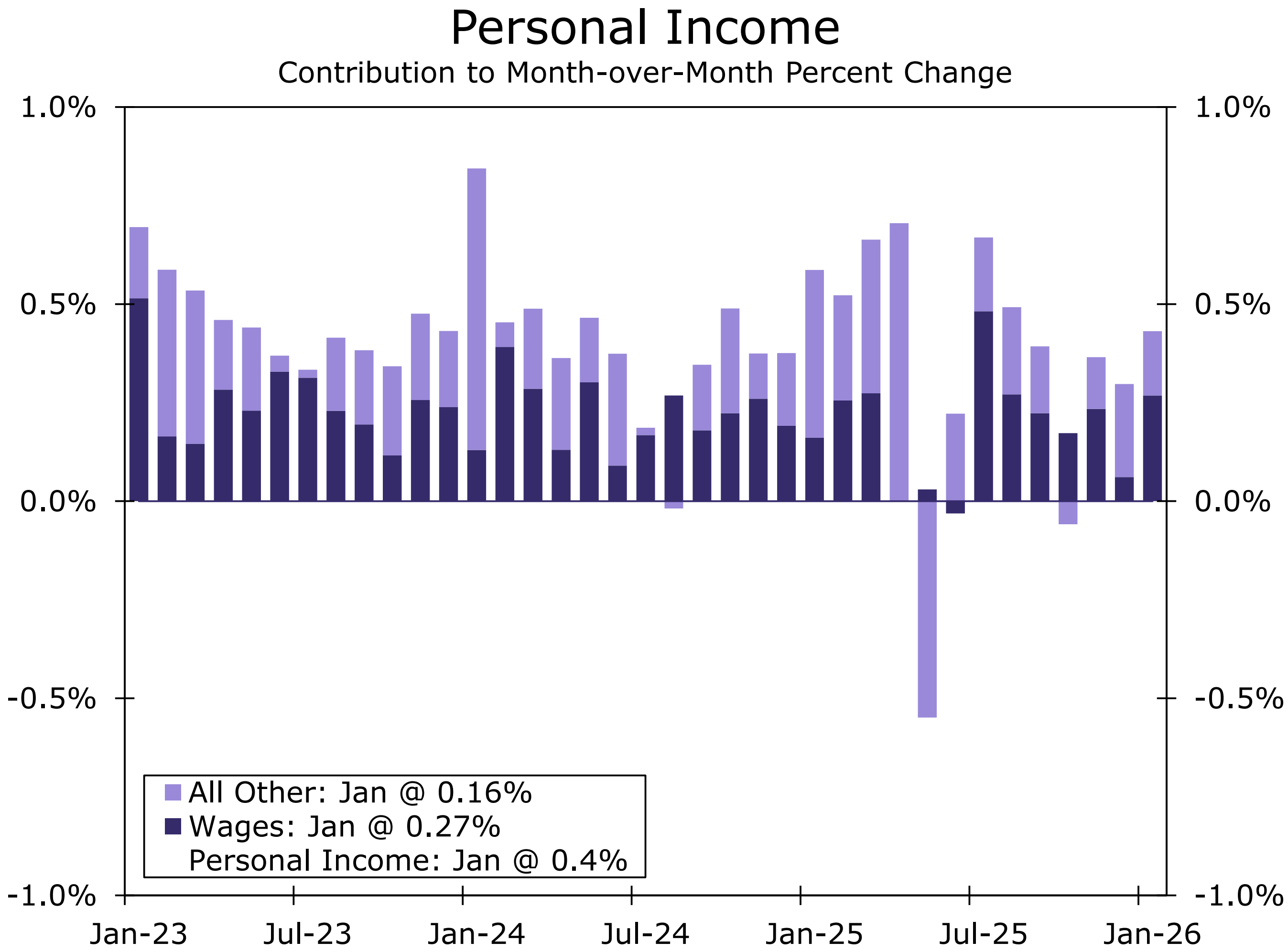
Source: U.S. Department of Commerce and Wells Fargo Economics

Pop in Wages, but Signs of Caution in Spending

As markets remain keenly focused on the conflict in Iran and potential domestic impact, the January personal income & spending data feel even further out of date. They're still important in terms of monitoring the state of the consumer, and show households entered the year with fairly sturdy spending momentum. But under the surface a renewed slowing in discretionary spending suggests some cautious behavior among households, even ahead of the recent oil-price shock.

Real personal spending rose 0.1% as goods spending slipped (0.4%) and services consumption expanded (0.3%). At first pass, the fastest pace of services spending in four months is encouraging and signals resilience despite the weaker retail sales print last week.

While that remains true, the main discretionary services components (transportation services, recreation services and food services & accommodation) all slowed during the month. As we can see in the nearby chart, the broader pace of annual discretionary spending has broken lower in recent months and signals some cautious behavior among households.



Source: U.S. Department of Commerce and Wells Fargo Economics

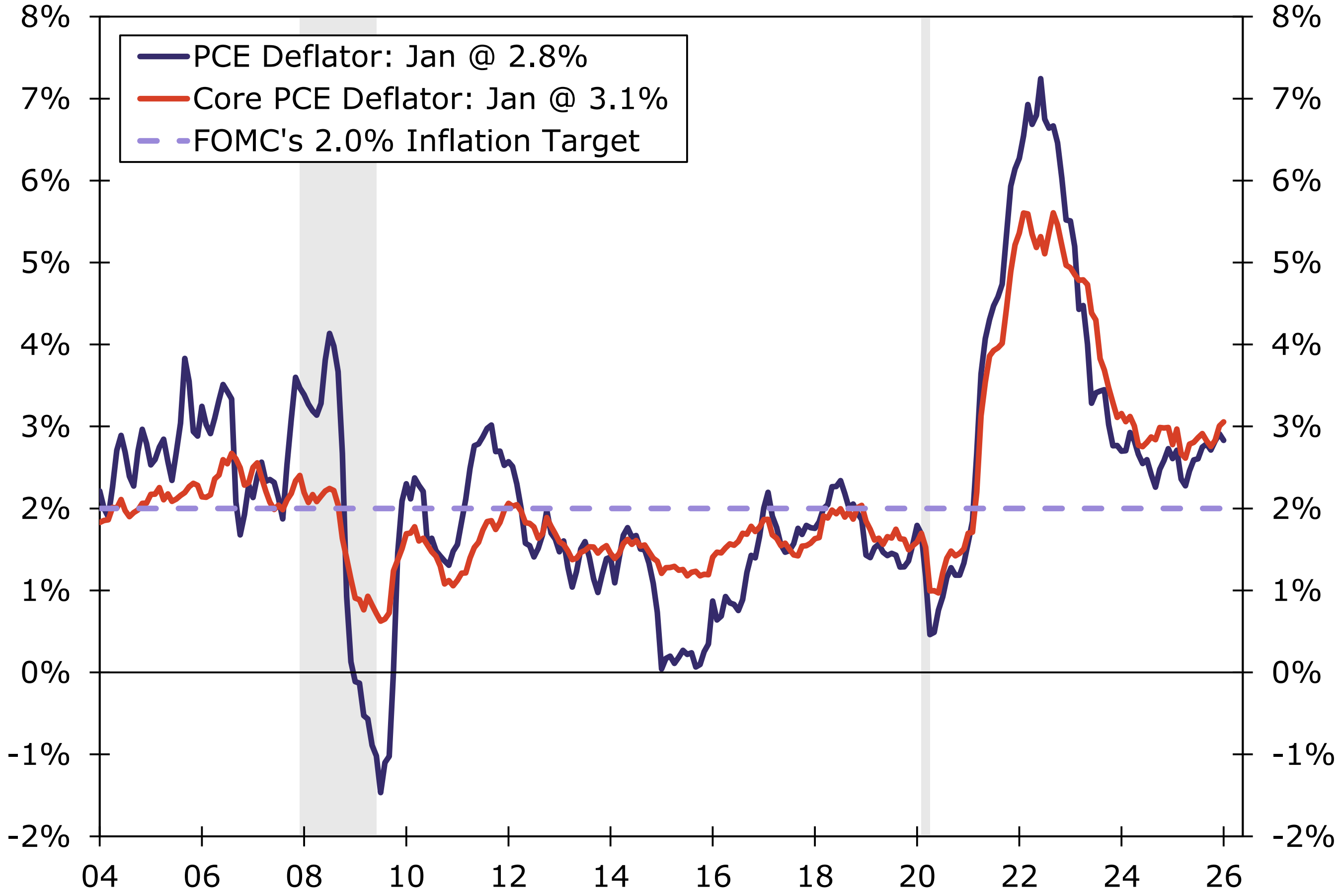
The 0.4% gain in personal income came in how we anticipated for total growth, but the details suggest income was a bit sturdier than we anticipated (chart). That's because most of the growth stems from a 0.5% gain in wages & salaries, or the largest monthly gain in four months, rather than solely resting on the annual cost-of-living adjustment (COLA) to social security benefits. Together these two components propelled total real disposable personal income growth, or household purchasing power, to rise at its fastest monthly clip in three years, up 0.7%.

There was little surprise on the inflation side. The core PCE deflator rose 0.4%, lifting the annual rate of inflation a tenth to 3.1% (chart). With the Consumer Price Index in for February and the ongoing conflict in Iran, these data feel stale as we brace for some upside to inflation in the coming months.

In addition to today's personal income & spending report, we got the second estimate of fourth-quarter GDP growth, which sliced the fourth-quarter GDP figure in half—a 0.7% annualized clip, versus 1.4% previously estimated. The downward revisions stemmed from lower services exports, softer structures investment, and weaker consumer services spending. The modest real spending data for January, combined with downward revisions to Q4 spending, suggest some modest downside risk to our estimate of a 1.9% annualized rate of real personal consumption expenditure (PCE) growth in Q1 and suggest PCE is tracking closer to about 1.5%.

PCE vs. Core PCE Deflator

Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

Higher gasoline prices in the wake of the conflict in Iran will likely exert some modest downward pressure on household purchasing power in coming months. In a recent note, we highlight how gasoline and even broader energy-related purchases make up a smaller share of household spending today than they once did. But even so, we've marked down our consumer spending forecast in our recent update as a result and expect a slower pace of spending this year.

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All estimates/forecasts are as of 3/13/2026 unless otherwise stated. 3/13/2026 10:20:41 EDT.

Required Disclosures

Economics
March 12, 2026

Gold Overstates Narrowing in January International Trade Deficit

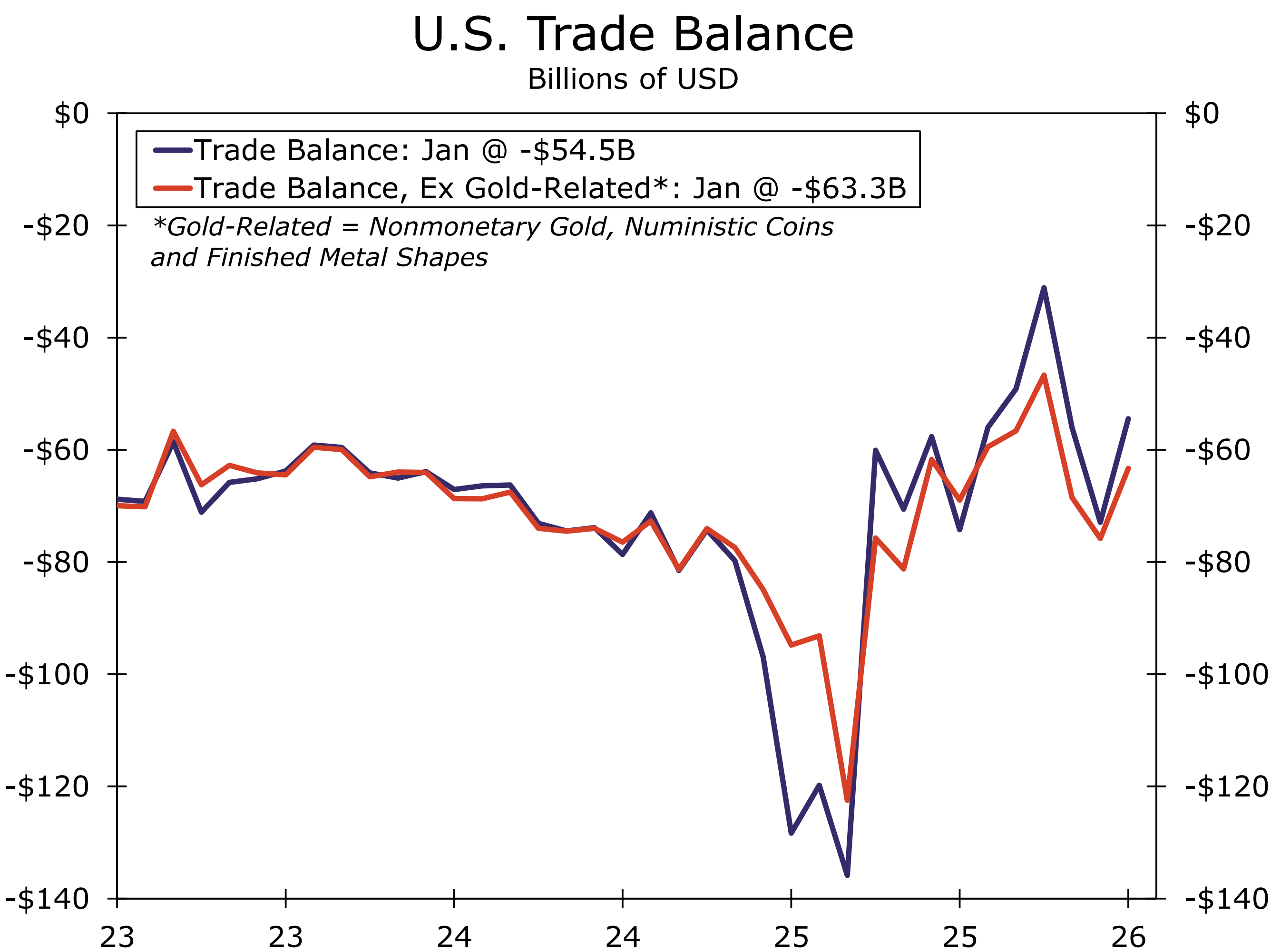
Economic Indicator

Economist(s)


Shannon Grein


Tim Quinlan

- The U.S. international trade data continue to be whipsawed by the flow of non-monetary gold and broader investment-related categories. These data won't translate directly to what is included in GDP accounting, and thus the $18.4 billion narrowing in the January trade deficit *overstates* the growth impact.
- Beyond investment-related metal flows, all the action continues to take place in high-tech related goods, with the export and import of items like computers and semiconductors rising sharply. The U.S. imports much more of these products than it exports, leading the trade deficit in high-tech related goods to widen sharply since the end of 2023.
- We continue to expect the overall U.S. international trade deficit to widen again over the course of the year as we suspect some pent-up demand for import growth is overdue and some near-term tariff clarity may lead importers to try and secure product.

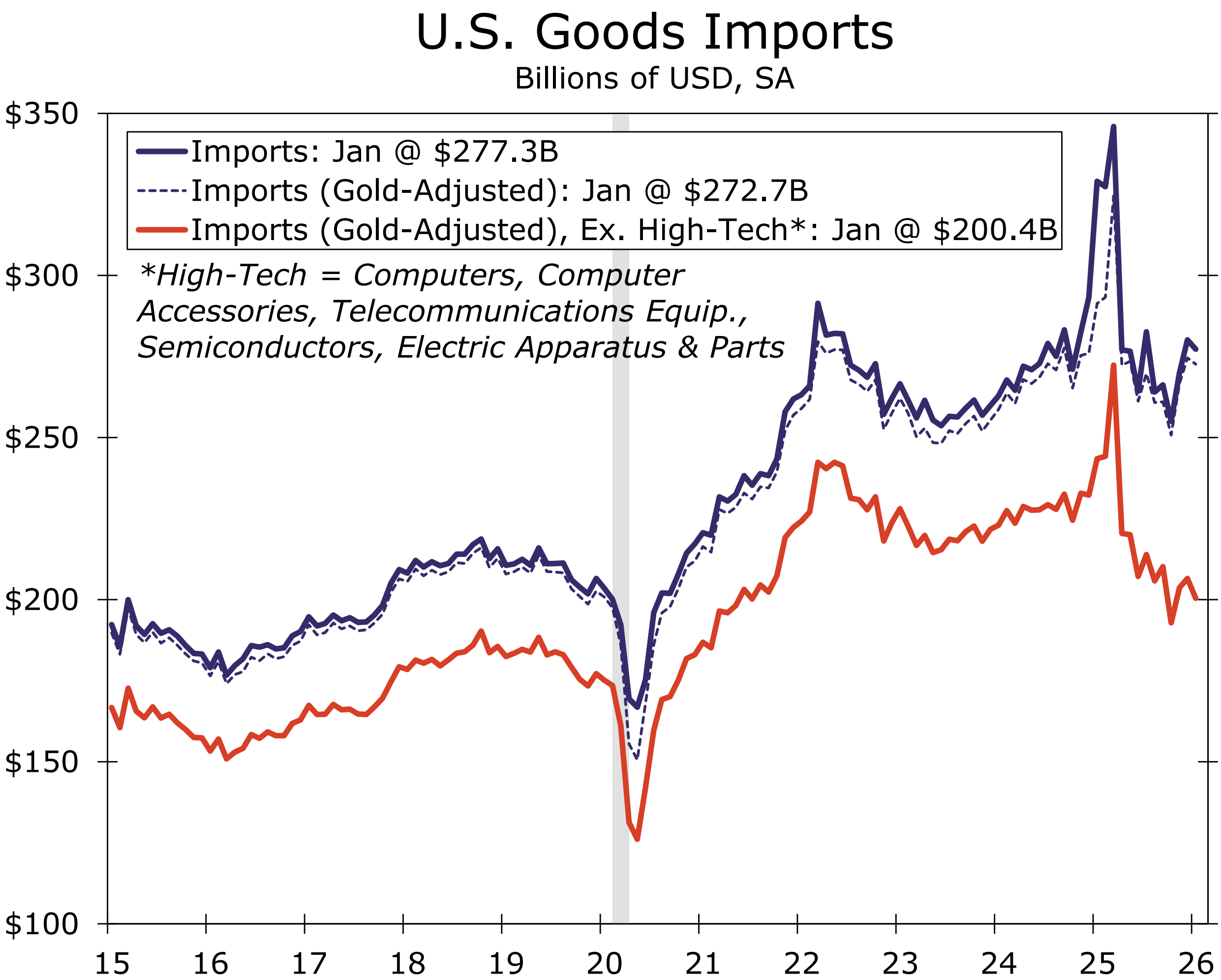


Source: U.S. Departmet of Commerce and Wells Fargo Economics

Trade Whiplash

Exports of *nonmonetary gold* continue to whipsaw the U.S. international trade deficit and suggest the recent moves are not as sharp as they appear at face value. As seen in the top chart, when you exclude the gold-related categories of trade, the international trade balance still narrowed in January, but not to the same degree as the headline data suggest. These categories are excluded and replaced by the BEA when calculating international trade flows in the GDP accounts because the way they are captured here in the monthly report more so reflects investment flows rather than growth in current production of gold or current usage of it in the production process.

In January, gold wasn't the sole thing driving exports $14.6 billion higher. *Other precious metals* rose a similar amount as gold, up just over $4 billion last month. Together these two components account for nearly 60% of the export gain. Outside metal flows, the trade story remains remarkably steady where nearly-all the growth sits in high-tech related goods. *Computers* (+$2.6B), and c*omputer accessories* ($1.6B), as well as *semiconductors* ($353M) posted impressive monthly gains.



Source: U.S. Department of Commerce and Wells Fargo Economics

Imports were much more bleak at the start of the year, dropping $2.8 billion. Here too, the story is very similar. *Non-monetary gold* was a factor, accounting for about 40% of the overall drop in imports, while the import of high-tech related products continued to outperform; *computers* (+$3.9B), *telecommunications equipment* ($1.3B), *semiconductors* ($293M). To be clear, the U.S. imports a lot more of these types of products than it exports, and the high-tech related trade balance has widened sharply since late 2023, currently sitting around -$43 billion, about two-and-a-half times as large as it was back then.

We still look for the overall U.S. international trade deficit to widen again over the course of the year as we suspect some pent-up demand. When you peal back import growth, it was incredibly weak last year, with underlying imports running near 2021 levels (chart). We suspect many companies were judicious when it came to onshoring product amid rapidly changing tariff policy, but as consumer demand has held up, and we've seen a steady drawdown in inventory since the initial Q1 build ahead of tariffs last year, we believe firms are in need of product.

Additionally, there's been some near-term clarity on tariffs and the recent Supreme Court ruling against IEEPA tariffs may act as a catalyst for firms to secure product. We've heard this anecdotally from clients. The combination of knowing where tariffs are the next couple of months and a potentially lower burden in the wake of the current 10% baseline rate leaves some firms importing more product today in case tariffs go up again later.

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Economics
March 12, 2026

Another Decline in Permits Overshadows January's Jump in Housing Starts

Surge in Multifamily Boosts Total Starts—Permits Tell the Real Story

Economic Indicator

Economist(s)


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Jackie Benson


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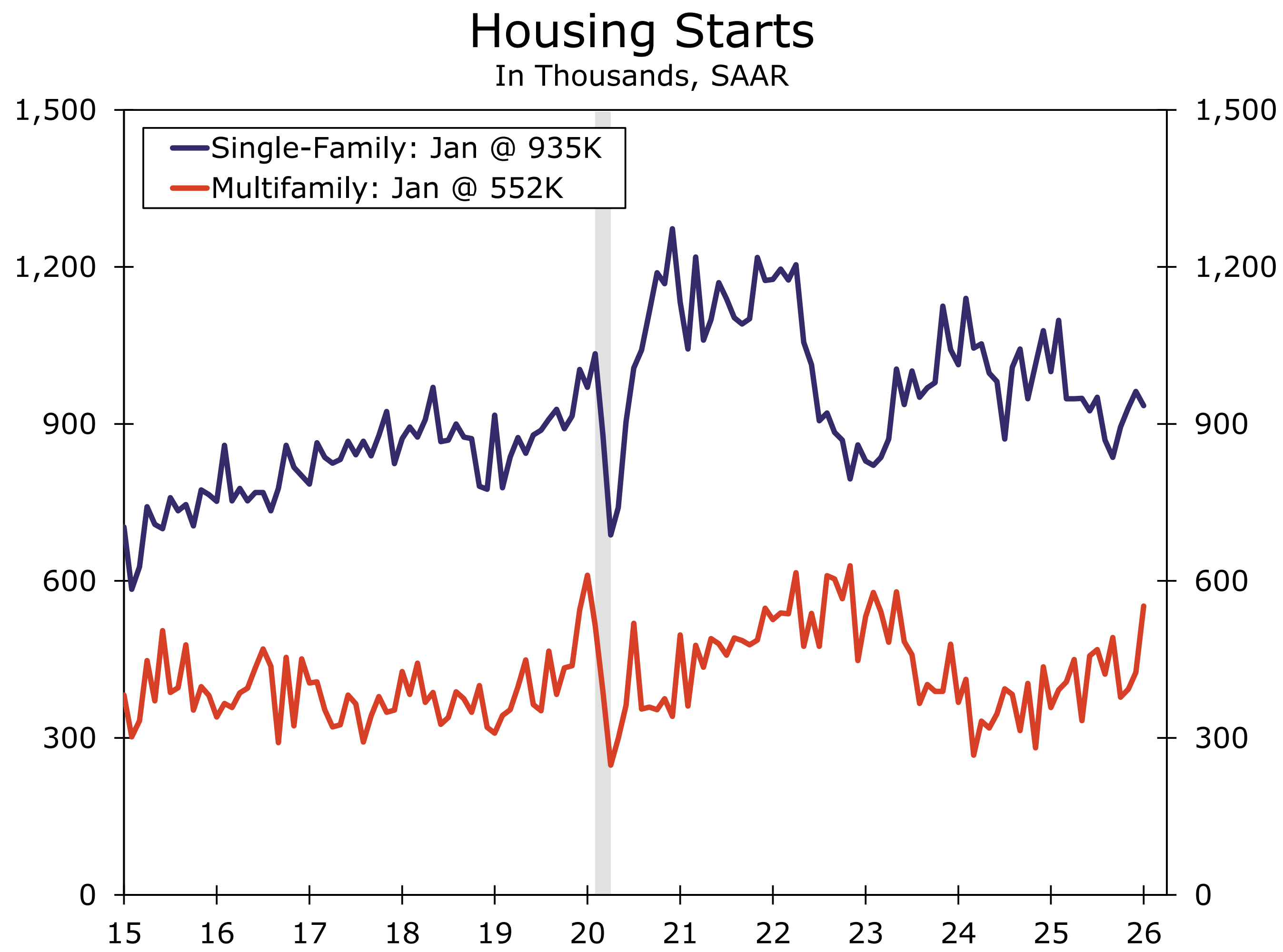
- Housing starts surprised to the upside in January, jumping 7.2% over the month. A surge in multifamily starts was entirely responsible. Multifamily rocketed 29.9% to a 552K-unit pace during the month, the highest since May 2023.
- The underlying details painted a relatively weaker picture of residential construction.
- For instance, the substantial gain in multifamily needs to be taken a grain of salt. Multifamily starts tend to bounce around on a monthly basis and are often subject to large revisions.
- Single-family starts did not show a similar rise and declined by 2.8% in January. Home builders appear to be scaling back production as inventories remain elevated relative to sales.
- What's more, both single-family and multifamily permits fell to start the year. Single-family edged down 0.9% and declined by 12.4%. Total permits hit a 1.38K annual pace in January, down 5.8% year-to-year. The downtrend in permits suggests starts will remain somewhat sluggish in the months ahead.
- Meanwhile, other leading indicators of residential construction foreshadow a softer pace of single-family construction ahead. In both January and February, the NAHB Housing Market Index revealed deteriorations in buyer traffic and sales expectations, keeping overall builder confidence at a weak level.
- Although the recent pop in starts likely overstates the strength, we do believe there is scope for modest improvement in multifamily development this year. Persistent single-family affordability challenges continue to bolster rental demand. In addition, the number of apartment units under construction fell to 686K in January, its lowest in four and a half years. This suggests that the supply pipeline is thinning, which should allow the apartment market to continue to firm.



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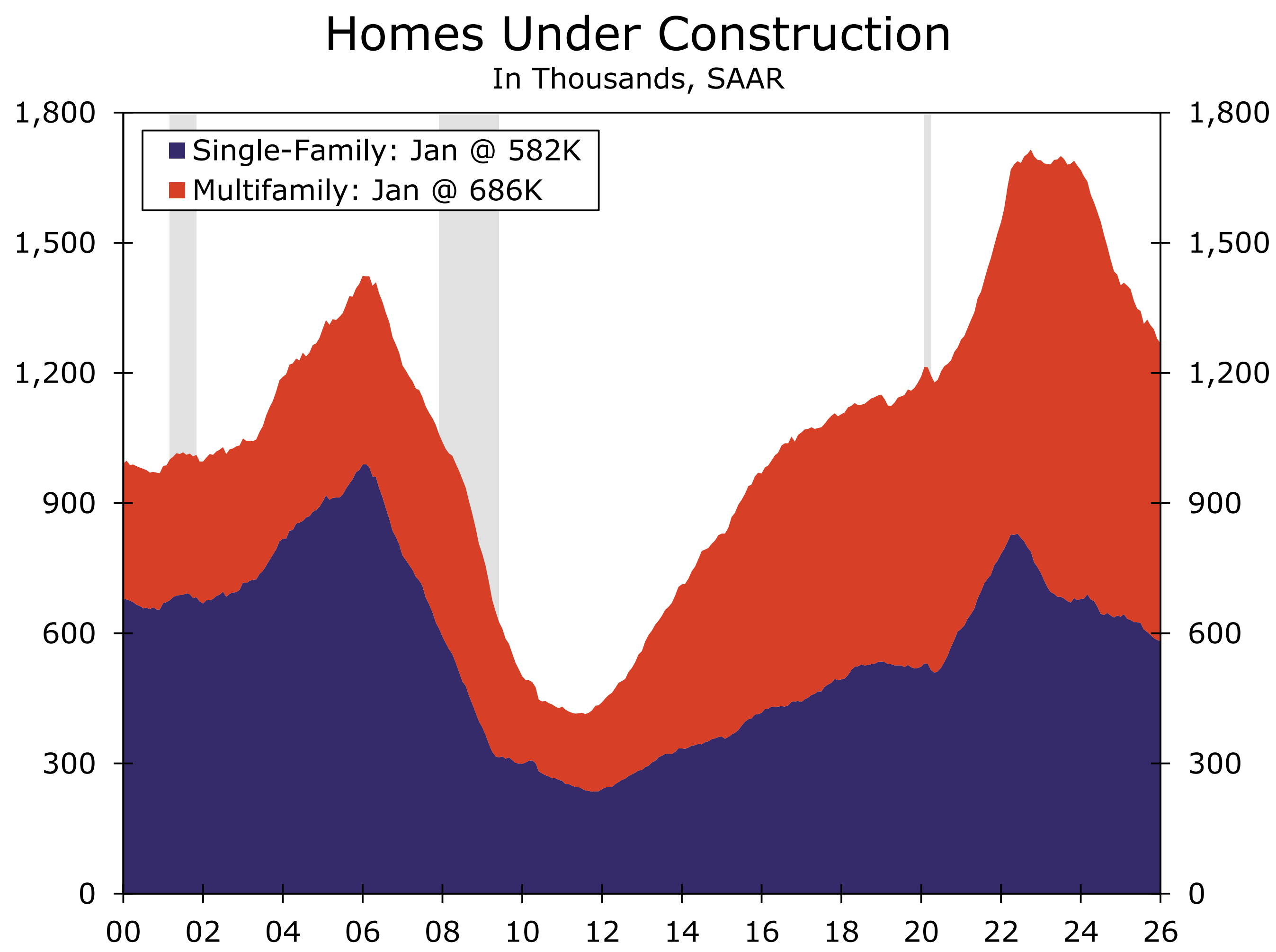
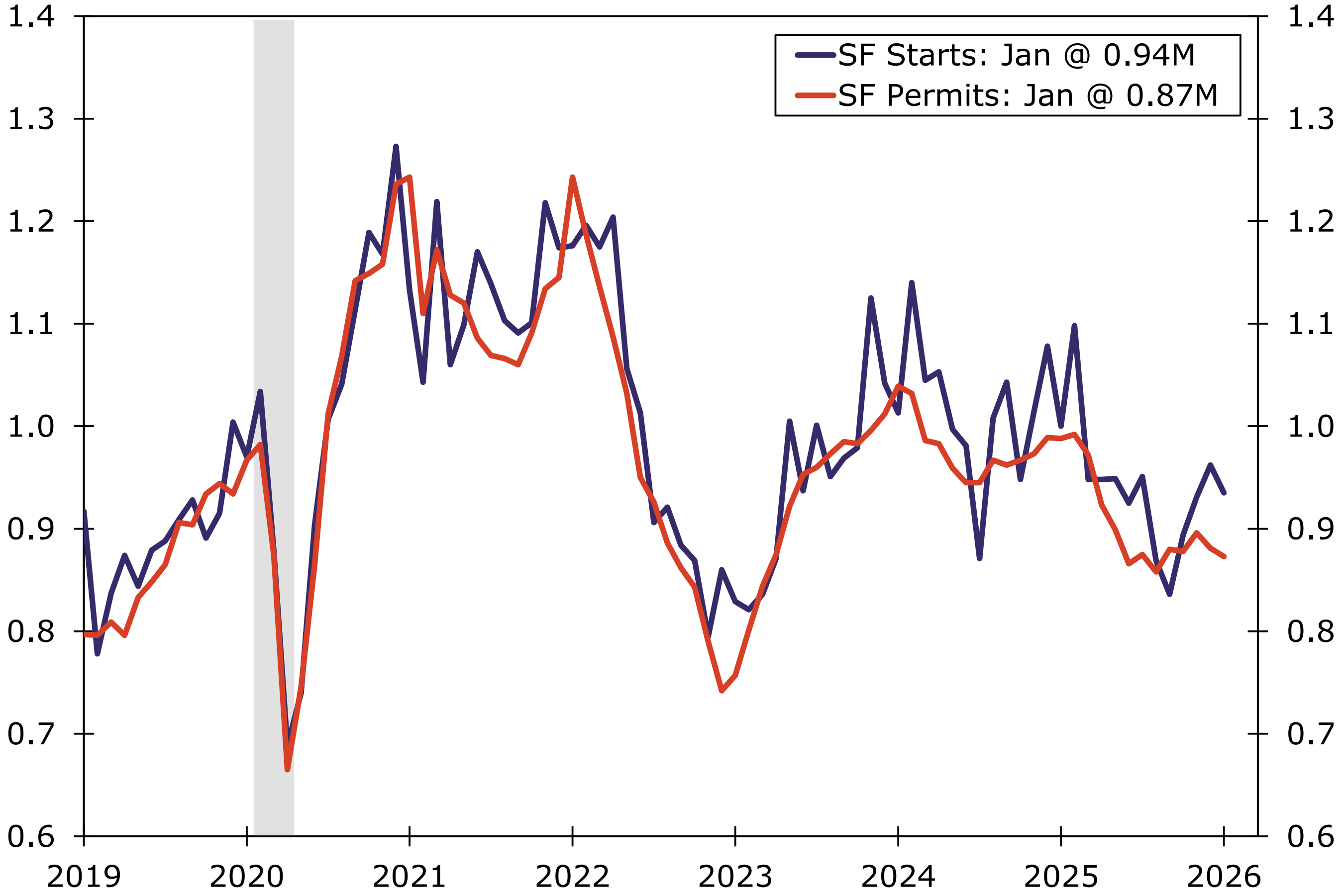


Source: U.S. Department of Commerce and Wells Fargo Economics

Single-Family Starts vs. Permits

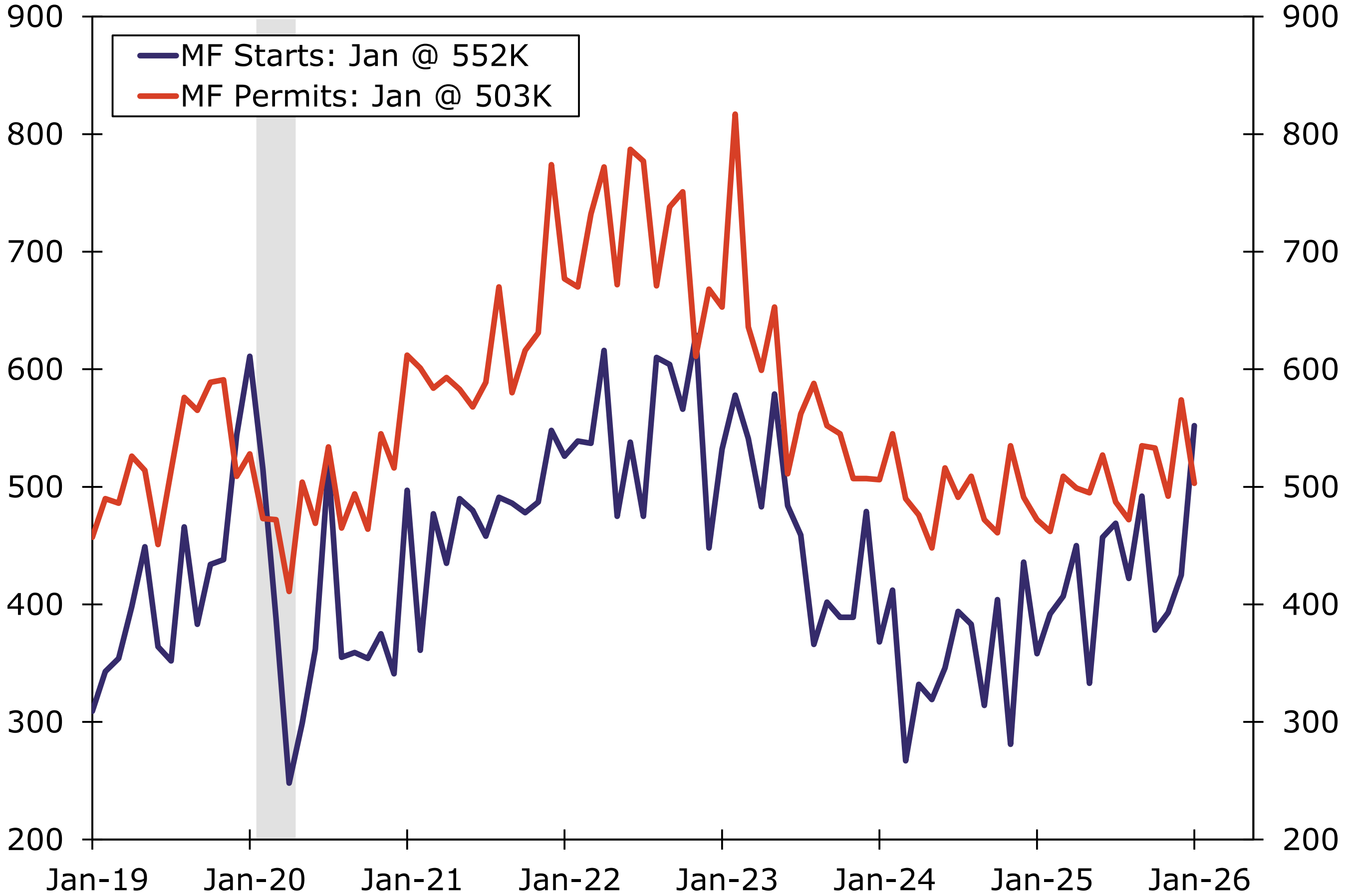
In Millions, SAAR



Source: U.S. Department of Commerce and Wells Fargo Economics

Multifamily Starts vs. Permits

Seasonally Adjusted Annual Rate, In Thousands



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